High Tide Inc. (NASDAQ: HITI) -- Company Context

Compiled: March 21, 2026 (updated with Q2 FY2026 results, June 16, 2026)

---

1. Historical Background

Founding and Early Years

High Tide was founded in **2009** by **Raj Grover** (born Harkirat Grover) in Calgary, Alberta. Grover emigrated from Mumbai, India to Canada at age 20, initially settling in Toronto before relocating to Calgary. He started his first business at age 22 and built several successful small enterprises before launching what would become High Tide. The company began as a single shop with 2 employees, focused on cannabis accessories distribution through its subsidiary **Valiant Distribution**.

The company was originally incorporated as **High Tide Ventures Inc.** and changed its name to **High Tide Inc.** in October 2018, coinciding with Canada's federal legalization of recreational cannabis on **October 17, 2018** (Cannabis Act / Bill C-45). Canada became the second country in the world (after Uruguay) to fully legalize recreational cannabis.

Listing History

- **CSE Listing**: High Tide initially listed on the Canadian Securities Exchange under ticker "HITI" around the time of legalization in late 2018.
- **TSX-V Migration**: The company later moved to the TSX Venture Exchange, retaining the "HITI" ticker.
- **15:1 Share Consolidation (May 13, 2021)**: To meet NASDAQ's minimum share price requirement, High Tide consolidated shares on a 15-for-1 basis. Pre-consolidation shares were trading around $0.60; post-consolidation they opened near $9.00.
- **NASDAQ Uplisting (June 2, 2021)**: High Tide began trading on NASDAQ under "HITI" after receiving approval on May 28, 2021. It became the **first major cannabis retailer in the world to list on NASDAQ**.

Major Acquisitions

High Tide's growth story is fundamentally an acquisition story. Key deals include:

Date	Target	Details	Price
Dec 2018	**Grasscity.com**	Amsterdam-based, world's largest online smoking accessories retailer (~5.8M annual site visits)	~$6.7M
Nov 2020	**Meta Growth Corp.**	Canadian cannabis retailer; deal created Canada's largest retailer with 65 stores and $148M annualized revenue	All-stock (0.824 HITI shares per META share)
Mar 2021	**Smoke Cartel**	U.S. e-commerce platform for accessories/CBD; ~550K customers, proprietary drop-shipping tech	US$8M
May 2021	**FAB CBD**	U.S. CBD e-commerce brand (80% interest)	Not disclosed
2021	**DankStop**	U.S. online accessories retailer	Not disclosed
2021	**Daily High Club**	Subscription box service for accessories	Not disclosed
Oct 2021	**Blessed CBD**	U.K.-based CBD brand (80% interest)	Not disclosed
Nov 2021	**NuLeaf Naturals**	Colorado-based CBD manufacturer (80% interest); largest acquisition at the time	~$31.2M
Various	**Choom Holdings stores**	Acquired 9 stores from Choom after it filed for bankruptcy	Not disclosed
2025	**Remexian Pharma GmbH**	51% stake in German medical cannabis distributor; annualized revenue ~EUR70M, EBITDA ~EUR15M	~EUR26.4M

Additionally, High Tide co-founded **Famous Brandz** (celebrity cannabis accessories) and built its retail brand **Canna Cabana** organically alongside acquired locations.

Strategic Pivots

The Discount Club Model (October 20, 2021): This was the defining strategic shift. Inspired by Costco, High Tide transitioned Canna Cabana from a traditional retail model to a discount club approach. Free "Cabana Club" memberships offered lower prices to members, sacrificing per-unit margin for volume and loyalty. Results were dramatic: - Same-store sales at Canna Cabana rose **132%** from launch through March 2025, while the average competitor saw a **10% decline**. - Member purchases represent **over 90%** of in-store sales.

In November 2022, High Tide added **Cabana Elite**, a paid premium membership tier with additional discounts and perks.

Stock Price History

- **All-time high**: **C$16.94** on TSX-V (Feb 8, 2021) / **US$11.82** on NASDAQ (Feb 9, 2021), during the cannabis meme-stock mania.
- **All-time low**: **C$1.42** (Mar 15, 2023), during the broader cannabis sector collapse.
- **Current (June 16, 2026)**: US$2.44 / ~C$3.44, with a market cap of approximately US$215M (stock +15.8% on Q2 FY2026 earnings beat).
- The stock has been a victim of extreme cannabis sector sentiment. The MSOS cannabis ETF fell ~73% in 2022 and another ~46% in 2024. HITI has outperformed most cannabis peers operationally but has not been rewarded with a commensurate valuation re-rating.

Key Regulatory Milestones

- **Oct 17, 2018**: Canada legalizes recreational cannabis.
- **2019-2020**: Provincial rollouts of private retail licensing (Ontario was initially delayed, then opened up rapidly).
- **Apr 2024**: Germany passes the Consumer Cannabis Act, partially legalizing cannabis and dramatically expanding medical cannabis access -- a catalyst for High Tide's Remexian acquisition.
- **2025**: U.S. cannabis rescheduling executive order welcomed by High Tide for potential CBD/Medicare implications via NuLeaf Naturals.

---

2. Management Background

Raj Grover -- Founder, President & CEO

- **Background**: Emigrated from Mumbai to Canada at age 20. Serial entrepreneur from age 22. Built and sold several small businesses in Toronto before relocating to Calgary.
- **Tenure**: CEO since February 8, 2018 (effectively since founding; formalized when the company restructured).
- **Ownership**: ~7.5-8.1% of common shares (~C$22M value as of mid-2025). Largest individual shareholder.
- **Recognition**: Named **Cannabis Person of the Year** at the O'Cannabiz Industry Awards Gala (June 2022). Made **Grow Up's Top 50 Cannabis Leaders in Canada** list (2024).
- **Public perception**: Generally well-regarded by retail investors and analysts. Known for an aggressive acquisition strategy and shareholder-friendly communication. Frequently compared to Jeff Bezos in his e-commerce ambitions for the cannabis space. Analysts at ATB Capital have called High Tide the "Costco of Cannabis" under his leadership.

Mayank Mahajan -- Chief Financial Officer

- **Appointed**: May 1, 2024.
- **Background**: 15+ years in financial services, technology, manufacturing, trading, and leasing. Prior roles at Everyday People Financial Corp, Metamaterial Inc., Jubilant Bhartiya Group (Canada/India/USA), Genpact, and S.P. Nagrath & Co.

- **Credentials**: CPA (Canada), CPA (U.S.), CA (India). MBA from Gonzaga University (Washington). BCom from Chaudhury Charan Singh University (India).
- **Notable experience**: M&A integration, debt/equity raises, SOX compliance, ERP implementation.

Aman Sood -- Chief Operating Officer

- **Background**: 20+ years in retail sector project management, operations, technology, and cost optimization.
- **Key contributions**: Led the building and management of 25 New Leaf Cannabis retail locations. After the Meta Growth acquisition in 2020, took over operations of all High Tide stores and led a major transformation of information and technology systems across the chain.

Vahan Ajamian -- Capital Markets Advisor (CPA, CA, CFA)

- **Background**: ~20 years of capital markets experience, including 8 years in cannabis. Was one of the first analysts to cover the cannabis sector at Beacon Securities. Named a "Rising Star" in cannabis investing by Business Insider and "Top Investment Analyst in Cannabis" by Green Market Report.
- **Prior firms**: Vext, MedMen, TD Securities, KPMG.
- **Role**: Key link between management and the investment community; frequently represents High Tide at conferences and earnings calls.

Other Executives

- **Sri Pavithra Priyalakshmi** -- VP, Digital and eCommerce (appointed August 2025).
- **Andreas Palalas** -- Chief Marketing Officer.

Board of Directors

As of early 2026, the board has undergone recent changes: - **Raj Grover** serves as executive director. - **Nitin Kaushal** (served since 2018) and **Andrea Elliott** (served since 2021) resigned effective March 2, 2026. - **Menashe Kestenbaum** was newly appointed, bringing expertise in scaling technology companies and managing dual-listed (TSX/NASDAQ) companies. - Two new advisory board members were appointed: **David Wallach** (real estate/business development) and **Filip Ernest** (AI/e-commerce technology). - At the May 2025 AGM, all 5 director nominees were elected with **over 98% approval**.

---

3. Interesting & Unique Statistics

Store Network

Metric	Value
Total Canna Cabana stores (as of April 30, 2026 / Q2 end)	**228** (229th announced post-quarter)
Stores in Ontario	96
Provinces with operations	5 (BC, AB, SK, MB, ON)
New stores opened in calendar 2025	27 (all organic)
Long-term target	350+ nationwide
2026 guidance	20-30 new locations (reiterated Q2 FY2026)
First European store	Berlin, Germany (opened Dec 1, 2025)

Cabana Club Loyalty Program

Milestone	Date
Launch of discount club model	October 20, 2021
515,000 members	~mid-2022
860,000 members	November 2022
1,000,000 members	April 2023
1,500,000 members	August 2024
2,000,000 members	July 2025
2,500,000 members (Canada)	Late 2025
2,580,000 members (Canada)	January 2026 (Q1 FY2026)
2,650,000 members (Canada)	April 2026 (Q2 FY2026; +39% YoY, +3% sequential)
6,560,000 members (globally)	Late 2025
6,650,000 members (globally)	January 2026
Cabana Elite (paid tier) members	178,000+ (+84% YoY; +10% sequential as of Q2 FY2026)

- Cabana Club is the **largest cannabis loyalty program globally**.
- Member purchases represent **over 90%** of in-store sales.
- Membership grew **800%** from launch to 2.2M members.

Financial Milestones

Metric	Value
Fiscal 2025 revenue (year ending Oct 31, 2025)	**C$594.0M** (+14% YoY)
Q4 2025 revenue	C$164M (record at time)
Q3 2025 revenue	C$149.7M (record at the time)
Fiscal 2025 Adjusted EBITDA	C$38.2M
Q4 2025 Adjusted EBITDA	C$12.4M (+51% QoQ)
Q1 FY2026 revenue	C$178.3M (+25% YoY)
Q1 FY2026 Adjusted EBITDA	C$11.5M (+62% YoY)
Q1 FY2026 free cash flow	C$2.9M (vs -C$1.9M YoY)
Q2 FY2026 revenue	**C$179.3M (record; +30% YoY — fastest growth in 11 quarters)**
Q2 FY2026 gross profit	**C$48.4M (27% GM; +36% YoY)**
Q2 FY2026 operating income	**C$6.1M (+554% YoY)**
Q2 FY2026 Adjusted EBITDA	**C$13.9M (+73% YoY)**
Q2 FY2026 net income	**C$24K — first-ever quarterly GAAP net profit**
Q2 FY2026 free cash flow	**C$1.5M**
Q2 FY2026 cash & equivalents	**C$36.5M**
H1 FY2026 revenue	**C$357.6M (+28% YoY)**
H1 FY2026 Adjusted EBITDA	**C$25.4M (+67% YoY)**
Revenue run rate	~C$717M+ (annualized from Q2 FY2026)
Cash position (end of FY2025)	C$48M (record; +223% since 2021)
Free cash flow (FY2025)	C$12.0M
Canadian market share	~12%
Financing	BMO C$40M senior secured credit facility approved; no ATM equity issued in five fiscal quarters

Retail Productivity

- **Annualized sales per square foot**: ~$1,650-$1,734 across the Canna Cabana network (outperforms Walmart and Target on this metric).
- **Annualized sales per sq ft**: $1,728 (Q1 FY2026, excl. stores <6 months).
- **Revenue per store**: 1.9x peer average (December 2025).

- **Same-store sales growth**: 7.4% in Q3 2025 (two-year high); 5% in Q1 2025.
- **Same-store sales**: +0.5% in Q1 FY2026 (weather-impacted); +2% normalized (Oct-Dec 2025); **-1.2% in Q2 FY2026** (industry-wide softness; offset by store count growth and Germany ramp).

E-Commerce

- Operates the **two largest e-commerce platforms for consumption accessories globally** (Grasscity + Smoke Cartel) with a combined ~33M site visits (2020 figure).
- E-commerce brands: Grasscity, Smoke Cartel, DankStop, Daily High Club, NuLeaf Naturals, FABCBD.
- E-commerce has been declining as a share of revenue (from ~10% in Q1 2024 to ~5% in Q1 2025), reflecting both brick-and-mortar strength and e-commerce headwinds.
- First sequential revenue increase in 2 years in Q1 FY2026. Platform relaunches showing conversion up 30-50%, orders up 30%.
- CEO exploring "strategic options including potential transactions" for e-commerce assets.

Notable Firsts and Records

- **First** major cannabis retailer listed on NASDAQ (June 2021).
- **Largest** non-franchised cannabis retail chain in Canada.
- **First** North American cannabis operator with bricks-and-mortar presence in Germany (Dec 2025).
- Highest revenue-generating cannabis company in Canada.

Germany / Remexian

- Remexian distributed **7 tonnes** of cannabis flower in Q2 2025, representing **16%** of the 43 tonnes imported into Germany that quarter.
- **Q1 FY2026 consolidated revenue**: C$25.0M (first full quarter of Remexian); gross margin ~12%.
- **Q2 FY2026 revenue**: **C$31.6M** (+26% sequential vs Q1); gross margin **27%** (significant jump from 12% in Q1 as procurement terms improved).
- **Q2 FY2026 distribution volume**: **7.6 tonnes** (+49% YoY; +21% sequential).
- **Q2 FY2026 market share**: **14%** of German medical cannabis market (3 months ended March 2026).
- **February 2026 record**: EUR7.5M (~C$12M) on 2.6 tonnes sold.
- **Market share trajectory**: 6.5% (Sept 2025) → 10.3% (Dec 2025) → 14% (March 2026).
- **German total imports**: 201 tonnes (2025) vs 73 tonnes (2024) = +176%.
- 93 tonnes from Canada (~50% of German imports).
- Canadian biomass arriving at "best-in-class" procurement terms.
- Monthly shipments Jan-Feb up 25% vs Dec 2025 quarter.
- German medical cannabis patients grew from ~250,000 to ~900,000 after the April 2024 Consumer Cannabis Act.
- German market annual revenues approaching EUR1 billion.

- **White-label SKUs**: currently ~1.7% of total sales; long-term target ~20% of total sales.
- **European expansion**: into additional markets planned in coming quarters.

---

4. Short Theses (Past and Present)

Current Short Interest

- Short interest: ~3.6-4.1 million shares, representing **~4.1%** of outstanding shares.
- Short interest has been modestly increasing in recent reporting periods.
- No prominent dedicated short reports or short-seller campaigns have been published against HITI specifically (unlike some other cannabis companies).

Key Bear Arguments

1. Historical Dilution

The most cited bear argument. Shares outstanding increased **~406%** from 2020 to 2024, primarily to fund the aggressive acquisition spree. While management argues dilution has slowed dramatically (only ~13.8% increase over the past two years), the damage to early shareholders was significant. The 15:1 reverse split in 2021 also left a psychological mark on investors.

Bull rebuttal: Raj Grover, as the largest shareholder, is most affected by dilution. The acquisitions funded by share issuance (Meta Growth, Grasscity, etc.) were strategically transformative. Share issuance pace has dramatically slowed as the company generates positive free cash flow.

2. Cannabis Sector Sentiment

Cannabis stocks broadly have been in a brutal bear market. MSOS fell ~73% in 2022 and ~46% in 2024. HITI's operational performance has been strong, but it trades at sector-level multiples that reflect deep investor skepticism about cannabis as an investable sector. Many institutional investors cannot or will not hold cannabis stocks.

3. Illicit Market Competition

The black/grey market remains a significant competitor in Canada, particularly in Ontario. Some estimates suggest the illicit market still captures 30-50% of total cannabis sales. In municipalities where illicit operations have grown, High Tide has had to reduce margins by 5-7% to remain competitive. Ontario recently approved a $31M bill to combat illicit cannabis, but enforcement remains a challenge.

4. Ontario Oversaturation

Ontario, Canada's largest province and High Tide's key growth market, has been flooded with cannabis stores. As of mid-2024, Ontario had ~1,457 stores. In 2024, 214 stores closed (up 52% YoY) while only 234 opened. Average store revenues have been declining as store count outpaces demand growth. High Tide has navigated this better than independents, but the oversaturation creates a deflationary pricing environment.

5. E-Commerce Weakness

Revenue from e-commerce platforms declined significantly (~$5.7M reduction in Q1 2025 alone), falling from 10% to 5% of total revenue. The Grasscity and Smoke Cartel platforms face competition from Amazon and other general e-commerce. The Blessed CBD and FAB CBD brands have underperformed expectations.

6. Profitability Quality

While High Tide achieved positive Adjusted EBITDA, the net income picture has historically been nuanced. The company reported a larger net loss in FY2025 despite record revenue, driven by non-cash items like impairments and fair value changes. GAAP profitability has been improving: the company achieved positive net income in Q3 2025 ($832K), and in Q2 FY2026 achieved its **first-ever quarterly GAAP net profit** (C$24K), though margins remain thin relative to ~C$179M quarterly revenue. Sustained GAAP profitability — not one-quarter proof points — remains to be demonstrated.

7. Low Gross Margins (Retail Cannabis)

The discount model inherently sacrifices margin. Cannabis retail in Canada operates with compressed margins due to excise tax structure, price compression, and the discount strategy itself. This makes the business more volume-dependent and vulnerable to any demand softness.

8. International Execution Risk

The Remexian acquisition (EUR26.4M for 51%) is a significant bet on the German medical cannabis market. While early metrics are promising, international expansion adds operational complexity, currency risk, and regulatory uncertainty.

Seeking Alpha Coverage

Notably, Seeking Alpha coverage of HITI is **overwhelmingly bullish**. Most published articles rate the stock as "Strong Buy" or "Buy." No prominent bearish articles were identified. This uniformity of bullish opinion could itself be a risk signal (consensus crowding).

---

5. Major Competitors

Direct Competitors (Canadian Cannabis Retail Chains)

SNDL Inc. (NASDAQ: SNDL) -- Formerly Sundial Growers

- **Overview**: Canada's other major cannabis retail consolidator. Operates **184 stores** under two banners: **Value Buds** (123 stores) and **Spiritleaf** (61 stores, mostly franchised). Also operates the Alcanna chain of liquor stores. Has an investment arm (SunStream Bancorp) for U.S. cannabis exposure.
- **Planned expansion**: Agreed to acquire 32 stores (Cost Cannabis and T Cannabis banners) from 1CM for $32.2M, which would bring the total to ~219 stores.
- **Advantages vs. HITI**: Diversified revenue (liquor retail via Alcanna), significant cash reserves and investment portfolio, franchise model reduces capital requirements for expansion, strong presence in Alberta.
- **Disadvantages vs. HITI**: No loyalty program comparable to Cabana Club, less cohesive retail brand identity (two banners vs. one), no e-commerce platform, focused primarily on Canada with limited international ambitions, history of poor capital allocation (Sundial Growers era).

Tokyo Smoke (Owned by OEG Inc.)

- **Overview**: Premium-positioned cannabis retail brand originally created by Lax Dutta, merged with DOJA Cannabis to form Hiku Brands, acquired by Canopy Growth in 2018. OEG Inc. acquired the brand and 23 stores from Canopy Growth in late 2022. In August 2024, Tokyo Smoke filed for creditor protection (CCAA), shuttering 29 locations. Exited CCAA in December 2024.
- **Current footprint**: ~38 stores (10 Manitoba, 5 Saskatchewan, 3 Newfoundland, 20 Ontario).
- **Advantages vs. HITI**: Stronger brand aesthetic/premium positioning in certain demographics.
- **Disadvantages vs. HITI**: Much smaller scale, went through CCAA, lost significant locations, no discount model or loyalty program at HITI's scale, no e-commerce platform.

Fire & Flower / Fika Cannabis

- **Overview**: Fire & Flower was once a prominent Canadian cannabis retailer with 90+ stores and a strategic investment from Alimentation Couche-Tard (Circle K's parent). Filed for CCAA in 2024 and was acquired by **Fika Cannabis** via auction. Couche-Tard wrote off its entire 35%+ stake.
- **Current status**: Operating under Fika ownership with a reduced store count. Also acquired Prairie Records stores from Decibel Cannabis for ~$3M.
- **Advantages vs. HITI**: Legacy brand recognition in certain markets.
- **Disadvantages vs. HITI**: Went through bankruptcy, dramatically smaller scale, lost Couche-Tard backing, uncertain financial footing under new ownership.

Sessions Cannabis

- **Overview**: Ontario-focused franchise cannabis retailer with a growing footprint. Nominated for national retail brand of the year awards.
- **Advantages vs. HITI**: Franchise model means faster, capital-light expansion; strong Ontario focus.
- **Disadvantages vs. HITI**: Ontario-only, much smaller scale, no national presence, no e-commerce, no international operations.

Indirect Competitors

Provincial Government Stores

SQDC (Quebec) - Government monopoly on all cannabis retail in Quebec (no private stores allowed). Operates ~100 outlets. - Annual net income of C$94.9M. Estimated to capture 56% of Quebec's total cannabis market (legal + illicit). - High Tide **cannot operate in Quebec** due to the government monopoly, making it an indirect competitive barrier to national expansion.

BC Cannabis Stores - Government-operated chain in British Columbia alongside private retail. - Limited direct competition with High Tide's private stores but sets pricing benchmarks.

OCS (Ontario Cannabis Store) - Online-only government retailer + wholesale distributor to private retailers. - All private Ontario retailers (including Canna Cabana) must purchase wholesale from OCS, giving the government control over product availability and wholesale pricing.

AGLC / Alberta Online

- Alberta permits private-only retail but operates online sales. High Tide's largest provincial presence is in Alberta (~40+ stores), where it dominates.

Broader Competitive Landscape

Independent / Single-Store Operators

- Thousands of independent cannabis stores operate across Canada (Ontario alone has ~1,457 stores). They collectively represent HITI's biggest competitive surface area but are individually weak. The oversaturation is causing rapid consolidation -- 214 Ontario stores closed in 2024. High Tide's scale advantages in procurement, marketing, and data give it structural advantages over independents.

Illicit Market

- Still captures an estimated 30-50% of total Canadian cannabis consumption. Competes on price (no excise tax), convenience (delivery), and product range (higher THC, edibles with higher dosage). Government enforcement has been inconsistent but is increasing (Ontario's $31M enforcement bill).

Competitor Comparison Summary

Company	Stores	Model	Provinces	Public?	Financial Health
High Tide (HITI)	228 (229th announced)	Discount club, corporate-owned	5 + Germany	NASDAQ/TSX-V	GAAP profitable Q2 FY2026, record revenue
SNDL	184 (expanding to ~219)	Mixed corporate/franchise	AB, SK, ON	NASDAQ	Cash-rich, diversified
Tokyo Smoke (OEG)	~38	Premium, corporate	MB, SK, NL, ON	Private	Exited CCAA Dec 2024
Fika (ex-Fire & Flower)	~90 (pre-CCAA)	Corporate	AB, SK, ON	Private	Post-bankruptcy
Sessions	Growing	Franchise	ON	Private	Unknown
SQDC	~100	Government monopoly	QC only	Crown corp	Highly profitable

---

Sources

- High Tide About Page
- High Tide Recaps Key Milestones of 2025
- High Tide Q4 and FY2025 Results
- High Tide Q1 FY2026 Results
- High Tide Q2 FY2026 Results
- NASDAQ Approves High Tide Application
- High Tide Switches to Discount Club Model
- High Tide Completes Meta Growth Acquisition
- Cabana Club Surpasses 2 Million Members
- Grasscity Acquisition Closed
- Smoke Cartel Acquisition
- NuLeaf Naturals Acquisition
- Remexian Pharma Acquisition
- First European Canna Cabana in Berlin
- Mayank Mahajan CFO Appointment
- Board Changes March 2026
- Raj Grover Named Cannabis Person of the Year
- SNDL Q2 2025 Results

- Ontario Cannabis Market Data 2024
- Fire & Flower CCAA and Fika Acquisition
- SQDC Annual Net Income
- Cannabis in Canada - Wikipedia
- High Tide 15:1 Consolidation Details
- Numbers Narrative - Bull/Bear Analysis
- MVC Investing - HITI Thesis 2.0
- MicroCapClub - Inside the Costco of Cannabis
- High Tide Stock Price History - MacroTrends
- HITI Short Interest - Fintel